

roles in ensuring a nurturing environment for entrepreneurs.

Let's take a look at the numbers to build some perspective. With regards to IP patents filed, China leads and far outpaces the nearest competitor, the US of A. China filed a little under 1.4 million patents whereas India filed 46K patents. That's about 3.3% of what China did.

Looking at funding, USA clocked in at 84.3 billion dollars (according to a study by Inc42) whereas India saw a cumulative funding of 11 billion dollars. We certainly have the world's second largest population, but the purchasing power parity is nowhere close to what first-world countries offer. You'd want to have a startup in a country where your services are likely to be bought so it's natural for Indian startups to look at overseas markets as a means of growing their business before heading back to home ground.

And if you take a look at 'exits' i.e. when a startup receives massive funding and the initial investors can cash out and exit, then India clocked in 19.6 billion dollars in 2018 while China had an even larger exit of 105 billion dollars. USA is miles ahead at 744 billion dollars.

All these figures tell us that India, like its population can host a lot of startups but the ecosystem has a long way to go before more entrepreneurs think India-first. It's not just that, even the judicial and administrative mechanisms need to improve. In most of the OECD nations, it takes an average of 12 days to establish a legal entity whereas in India, you'll spend an average of 27 days. This isn't a huge factor but there are numerous others that make it cumbersome to get started. Also, India's regulatory framework isn't as comprehensive as other global startup hubs. This is sort of a double-edged sword. On one hand, entrepreneurs might not want to enter a market that is shrouded in mystery and on the other hand, lack of regulations means lesser oversight and thus, one can get away with crimes that would have invited heavy fines otherwise. Take for example, the numerous data leaks that

we've seen so far. SBI, Zomato, McDonalds, JustDial, etc. have all either exposed API endpoints or simply been hacked but we haven't seen any colossal fines being imposed. Facebook, on the other hand, just had a \$5 billion fine slapped on for the Cambridge Analytica scandal.

VINI, VIDI, EFFINGO

From the list of startups, we've seen thus far it's evident that India has a lot of potential for service-based startups rather than product-based startups. And the easiest way to do that is to copy a model that has seen success in the west. Name a successful Indian startup and there will be one in western markets that "heavily influenced" it. Ola-Uber, Flipkart-Amazon, OYO-Airbnb, Hike-WhatsApp, Gaana-Spoti-

fy, Hotstar-Netflix, etc. and the list goes on. It is however unfair to label these companies copycats since they did tune their offerings and content to suit Indian needs. Airbnb lets you find rental accommodations in people's homes whereas OYO is more associated with hotels and lodges because letting an absolute stranger into an Indian home is beyond awkward. Atithi-devo-bhagawan but only if you're invited. Hotstar knew that cricket and regional content would sell better and that's where they've focused and found success.

THE SOONICORNS

2019 has been a great year for Indian startups thus far. We've already seen eight startups attain unicorn status in the first two quarters of the year and there's room for more to join the exclusive club. Here are some of the ones that show the most promise:

- **Rivigo** – A relay-as-a-service surface transport company where drivers undertake 4-5 hours journeys before passing or relaying the truck to the next driver.
- **BookMyShow** – The all too popular ticketing.
- **Practo** – Health-tech startup that has recently expanded into a lot of overseas markets.
- **Lenskart** – Online ecommerce store just for eyewear.
- **UrbanClap** – An on-demand home services enabler.

Aside from these, there is also Droom, GreyOrange, ShareChat and several others that are inching towards becoming Unicorns. Most of these are still service-based startups and there is a dearth of startups that focus on original IP. One of the reasons we probably don't see this is because a lot of the major companies have special teams hunting for startups that show promise. These startups are then nurtured and sometimes even bought out early before they can hit unicorn status. That being said, there is an uptick in startups that are working on original IPs and we could very well see one of them hit unicorn status in the coming year. The only questions is, when? **1**

INDIA'S UNICORNS

2013

- Mu Sigma - Management Consulting Group

2015

- Quikr - Online Classified ads

2016

- Hike - Messaging app
- ShopClues - Online marketplace

2017

- Zomato - Restaurant search and discovery
- ReNew Power - Renewable energy company
- InMobi - Advertising company
- Snapdeal - Online marketplace

2018

- Ola - Cab aggregator
- Byju's - Online education
- Swiggy - Restaurant search and discovery
- Paytm Mall - Online marketplace
- Billdesk - Payment gateway
- Freshworks - Software product company
- Policy Bazaar - Online marketplace for insurance plans
- Udaan - B2B trading platform
- Pine Lab - Merchant platform

2019

- Paytm - Digital Wallet
- OYO - Booking budget lodging / managed lodging
- Delhivery - Courier service
- Dream11 - Fantasy gaming
- Big Basket - Online grocery marketplace
- Icertis - Cloud computing
- Ola Electric - Electric vehicle company
- Druva - Data protection firm